MERLIN PROPERTIES

FY22 RESULTS
Trading Update

AT A GLANCE: A YEAR OF ALPHA

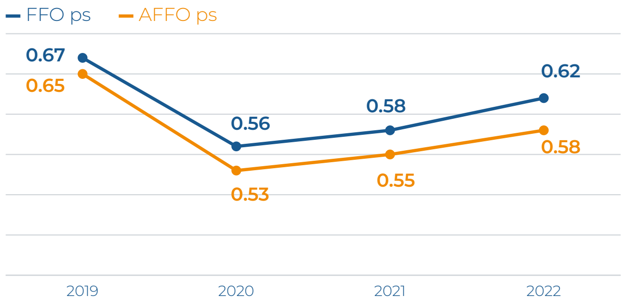
- Healthy **growth in all of our key metrics** such as occupancy (95.1% +60 bps YoY), LfL rental income (+7.3% YoY) or cash flow generation (€ 290.5m FFO, +6.4% YoY)
- **Positive Total Shareholder Return** (+4.7% YoY) despite a significant yield expansion (+44 bps YoY to 4.7% passing) thanks to a **strong operating performance and accretive capital recycling**
- **Radical deleverage before the tightening of the capital markets enables the company to just focus on operating performance and value creation**
- In 2023, **MERLIN will deliver 4 fully refurbished office buildings** virtually fully let totalling 58,525 sqm, **1 logistics warehouse** totalling 47,342 sqm and **Phase I of the Mega plan** (9MW)

FFO PER SHARE / AFFO PER SHARE

FFO per share **exceeded updated guidance** (>€ 0.60 per share)

€ 0.62 (+6.4% YoY)
FFO ps

€ 0.58 (+5.1% YoY)
AFFO ps



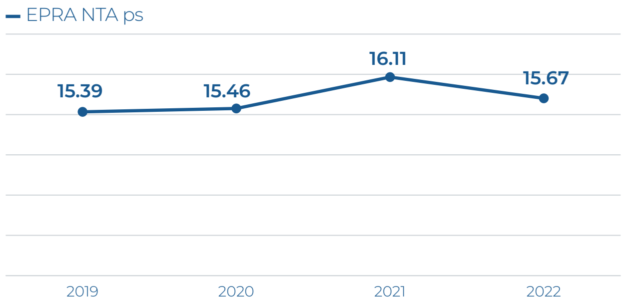
EPRA NTA PER SHARE

EPRA NTA impacted by a high dividend distribution (€ 1.20 per share)

€ 15.67 (-2.7% YoY)
EPRA NTA per share evolution

+4.7%
TSR YTD

(1.5%)
LfL GAV evolution

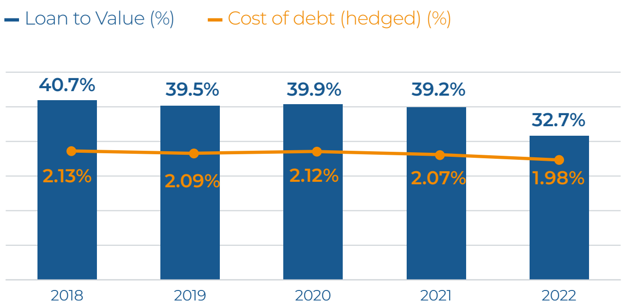


FINANCIAL DEBT

Material deleveraging despite the valuation impact and **value creation capex,** thanks to the **disposal of Tree**

32.7% (35.8% EPRA LTV)
Loan to Value

2.00% spot (1.98% hedged)
Cost of debt



CONSOLIDATED PERFORMANCE

+7.3%
Gross rents like-for-like YoY

+6.4%
FFO per share YoY

(2.7%)
EPRA NTA per share YoY

- **Transformational year,** highlighted by the **Tree disposal** and the **acceleration of our Mega plan,** including partial pre-lets for the 3 assets under construction
- **Strong operating performance accross the board,** enabling MERLIN to deliver an **excellent cash generation (€ 0.62 per share, +6.4% YoY), exceeding FFO guidance** despite disposals
- During the year, **MERLIN delivered 5 fully let assets totalling 122,224 sqm**
- **Significant yield expansion (+44 bps) but moderate impact on valuations** (-1.5% YoY GAV LfL) **thanks to an outstanding operating performance**
- **NTA per share** standing at **€ 15.67** after € 1.20 cash per share distributed during the year

Net Leases have been reclassified as discontinued operations in FY22 and FY21 results have been restated[1]

(€ million)	FY22	FY21 Restated	YoY
Total revenues	460.7	426.5	8.0%
Gross rents	452.8	419.7	7.9%
Gross rents after incentives	428.2	377.1	13.5%
Net rents after propex & collection losses	378.9	328.4	15.4%
Gross-to-net margin[2]	*88.5%*	*87.1%*	
EBITDA[3]	334.7	291.8	14.7%
Margin	*73.9%*	*69.5%*	
FFO[4]	290.5	273.0	6.4%
Margin	*64.1%*	*65.1%*	
AFFO	271.2	258.0	5.1%
Net earnings	263.1	512.2	(48.6%)

(€ per share)	FY22	FY21	YoY
FFO	0.62	0.58	6.4%
AFFO	0.58	0.55	5.1%
EPS	0.56	1.09	(48.6%)
EPRA NTA	15.67	16.11	(2.7%)

BUSINESS PERFORMANCE

Rents like-for-like YoY

+6.0% Offices | **+8.6%** Logistics | **+7.5%** S. Centers

Release spread

+5.8% Offices | **+7.9%** Logistics | **+5.2%** S. Centers

Occupancy vs 31/12/2021

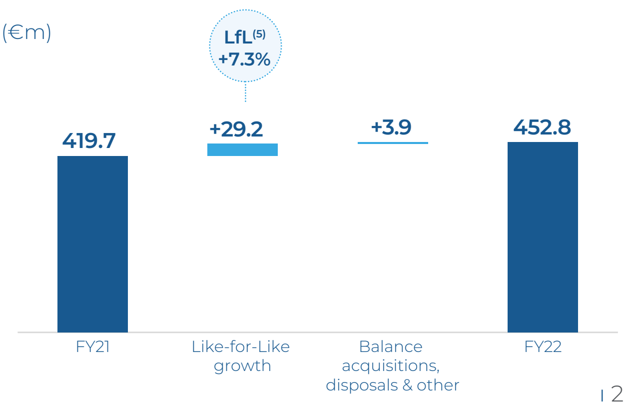
+60 bps → **95.1%**

- **Offices:** 236,127 sqm contracted. **LfL** of **+6.0%** and **release spread** of **+5.8%**
- **Logistics:** 294,940 sqm contracted. **LfL** of **+8.6%** and **release spread** of **+7.9%**
- **Shopping centers:** 68,323 sqm contracted. **LfL** of **+7.5%** and **release spread** of **+5.2%**

FY22	Contracted	Rent		Leasing activity	Occ. vs 31/12/21
	sqm	€m	Lfl change	Release spread	Bps
Offices	236,127	242.7	+6.0%	+5.8%	+245
Logistics	294,940	73.6	+8.6%	+7.9%	(11)
Shopping centers	68,323	123.8	+7.5%	+5.2%	+79
Other	n.a.	12.7	+25.3%	n.m.	(1)
Total	**599,390**	**452.8**	**+7.3%**		**60**

Gross rents bridge

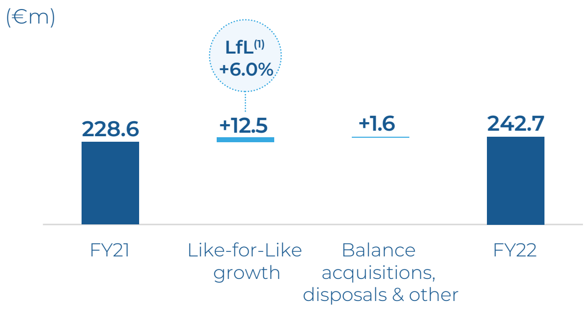
(€m)



[1] As a result of the reclassification of Net Leases as discontinued operations, income from Net Leases is only considered in Net earnings, FFO and AFFO metrics. PF metrics have been added for ease of comparison
[2] Net of incentives
[3] Excludes non-overhead costs items (€ 2.4m) plus LTIP accrual (€ 4.0m)
[4] FFO equals EBITDA less net interest payments, less minorities, less recurring income taxes plus share in earnings of equity method
[5] Portfolio in operation for FY21 (€ 397.8m of GRI) and for FY22 (€ 427.0m of GRI)

OFFICES

Gross rents bridge



Rents breakdown

	Gross rents FY22 (€ m)	Passing rent (€/sqm/m)	WAULT (yr)
Madrid	167.9	19.8	3.3
Barcelona	40.7	20.4	2.5
Lisbon	31.5	20.8	4.0
Other	2.6	11.1	6.8
Total	**242.7**	**19.9**	**3.3**

Leasing activity

- **Significant LfL increase (+6.0%)** thanks to occupancy gains (+245 bps YoY), indexation and rental uplifts on renewals
- **4Q22 leasing activity highlights:**
  - 13,890 sqm new lease with EDP in Adequa, Madrid
  - 3,317 sqm renewal with IQVIA in Juan Esplandiu, Madrid
  - 1,805 sqm renewal with Liferay in Castellana 280, Madrid
  - 1,416 sqm new lease with Securitas Direct in WTC8, Barcelona
  - 1,112 sqm new lease with Gigi Studios in Sant Cugat II, Barcelona
  - 1,050 sqm new lease with McKinsey in Marques de Pombal, Lisbon

						LTM	
sqm	**Contracted**	**Out**	**In**	**Renewals**	**Net**	**Release spread**	**# Contracts**
Madrid	169,300	(28,485)	55,814	113,486	27,329	+3.8%	77
Barcelona	43,307	(14,660)	23,343	19,964	8,683	+11.5%	43
Lisbon	23,520	(5,201)	22,362	1,158	17,161	+19.5%	9
Total	**236,127**	**(48,346)**	**101,519**	**134,608**	**53,173**	**+5.8%**	**129**

Occupancy

- **Revisited occupancy guidance provided to the market (92.5%) has been met,** bringing total recovery since Covid-19 trough to 342 bps
- By markets, **best performer this quarter has been Madrid A-1**

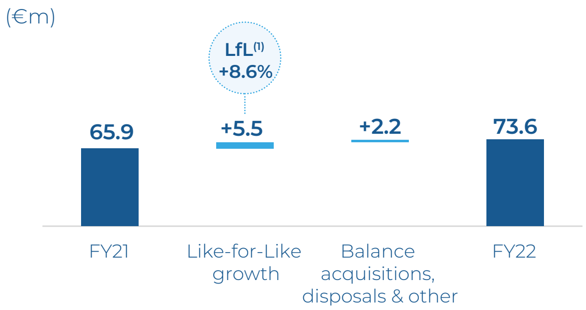
Stock	1,172,874 sqm
WIP	142,753 sqm
Stock incl. WIP	1,315,627 sqm

	Occupancy rate[2]		
	FY22	**FY21**	**Change bps**
Madrid	90.6%	87.8%	+288
Barcelona	94.4%	93.1%	+135
Lisbon	100.0%	99.5%	+54
Other	100.0%	100.0%	-
Total	**92.5%**	**90.1%**	**+245**

[1] Portfolio in operation for FY21 (€ 209.1m of GRI) and for FY22 (€ 221.6m of GRI)
[2] MERLIN policy excludes buildings under complete refurbishment. Buildings excluded this period are Plaza Ruiz Picasso, Plaza Ruiz Picasso II, Atica 1, PE Cerro Gamos, PLZFA, PE Atica XIX D and Adequa 4 & 7

LOGISTICS

Gross rents bridge



Rents breakdown

	Gross rents FY22 (€ m)	Passing rent (€/sqm/m)	WAULT (yr)
Madrid	46.3	4.1	4.2
Barcelona	10.5	6.8	2.4
Other	16.8	4.1	3.0
Total	**73.6**	**4.3**	**3.7**

Leasing activity

- **Strong organic performance (+8.6% LfL)** fueled by occupancy gains, indexation and reversionary potential captured
- **4Q22 leasing activity highlights:**
  - 44,722 sqm new lease with DSV in A2-Cabanillas Park I J, Madrid
  - 11,099 sqm new lease with Media Markt in A4-Pinto I, Madrid
  - 7,617 sqm new leases with Barcelona International Terminal, Barnapallet and Twincam Pro International in PLZF, Barcelona
  - 5,050 sqm new lease with Norci Logistica in A2-San Fernando II, Madrid

						LTM	
sqm	**Contracted**	**Out**	**In**	**Renewals**	**Net**	**Release spread**	**# Contracts**
Madrid	225,828	(56,912)	154,180	71,648	97,268	+4.3%	5
Barcelona	17,030	(22,375)	17,030	-	(5,345)	-	-
Other	52,082	(4,544)	25,308	26,774	20,764	+22.8%	3
Total	**294,940**	**(83,831)**	**196,518**	**98,422**	**112,687**	**+7.9%**	**8**

Occupancy

- **Virtually full occupancy at both MERLIN (97.0%) and ZAL Port (99.7%)**

Stock	1,483,786 sqm
WIP(2)	604,779 sqm
Best II	214,467 sqm
Best III	390,312 sqm
Stock incl. WIP	2,088,565 sqm
ZAL Port	736,217 sqm
Stock managed	2,824,782 sqm

	Occupancy rate		
	FY22	**FY21**	**bps**
Madrid	96.1%	97.9%	(181)
Barcelona	94.7%	99.1%	(440)
Other	100.0%	94.6%	536
Total	**97.0%**	**97.1%**	**(11)**

(1) Portfolio in operation for FY21 (€ 63.8m of GRI) and for FY22 (€ 69.3m of GRI)
(2) WIP includes in progress and Landbank Best II & III

LOGISTICS (CONT.)

INVESTMENTS, REFURBISHMENTS AND DEVELOPMENTS

Best II (as from 31/12/2022)

- **63% of Best II** has been delivered achieving a **7.8% YoC**
- Assets delivered in 2022: **Cabanillas Park I H, Cabanillas Park I J and Cabanillas Park II A**, totalling 115,210 sqm
- **A2-Cabanillas Park II B** (47,342 sqm) under development to be delivered in 2H23 at an **expected YoC of 6.9%**
- **167,125 sqm of Landbank** remaining in the Madrid area (Cabanillas Park II and Azuqueca III) to be developed with pre-lets. Expected **YoC above 6.5%** at current construction costs

Best III (as from 31/12/2022)

- **22% of Best III** has been delivered achieving a **8.0% YoC**
- No assets delivered in 2022
- **390,312 sqm of Landbank** remaining in Lisbon (Lisbon Park), Seville (Sevilla ZAL), Madrid (A2-San Fernando III) and Valencia (Valencia-Betera) to be developed with a pre-lets. **Expected YoC above 7.0%** at current construction costs

SHOPPING CENTERS

Gross rents bridge

(€m)

Rents breakdown

	Gross rents FY22 (€ m)	Passing rent (€/sqm/m)	WAULT (yr)
MERLIN	123.8	22.4	2.2

Footfall and tenant sales[2]

	vs FY21	vs FY19
Tenant sales	+27.7%	+2.7%
Footfall	+19.5%	(8.6%)
OCR[3]	11.8%	

Leasing activity

- **Tenant sales above pre-Covid levels** after the best Christmas campaign ever and **footfall in December above 2019 figures** (+0.3%) for the first time in the year
- **4Q22 leasing activity highlights:**
  - 3,219 sqm renewal with Tendam in Artea, Centro Oeste and Bonaire
  - 1,946 sqm renewal with Climbat in X-Madrid
  - 1,545 sqm new lease with Fitness Park in Marineda
  - 765 sqm renewal with Ducati in X-Madrid
  - 701 sqm renewal with Fifty in Bonaire
  - 653 sqm renewal with Nike in Bonaire

						LTM	
sqm	Contracted	Out	In	Renewals	Net	Release spread	# Contracts
Total	68,323	(23,067)	26,752	41,571	3,685	+5.2%	197

Occupancy

- Flagship plan paid out: **occupancy continues increasing (+79 bps vs FY21, +173 bps vs FY19)**
- **Best performer** this quarter has been **Marineda**

Stock	461,394 sqm
Tres Aguas[4]	67,940 sqm
Stock with Tres Aguas	529,334 sqm

	Occupancy rate		
	FY22	FY21	bps
Total	95.0%	94.2%	+79

[1] Portfolio in operation for FY21 (€ 114.9m of GRI) and for FY22 (€ 123.6m of GRI)
[2] Excluding X-Madrid, opened in November 2019
[3] Including the impact of the commercial policy
[4] Tres Aguas at 100% allocation

BALANCE SHEET

- **LTV stands at 32.7% (-651 bps vs FY21)** after distributing € 561.9m (€ 1.20 per share) in cash dividend
- **€ 2.0bn in gross debt reduction**
- **2023 maturity (€ 743m) refinanced at a compelling cost (MS +126 bps). No further maturities until May 2025**
- **Solid financial situation:** low LTV, 100% interest rates fixed, 98% unsecured and > € 1.8bn in liquidity

Ratios	31/12/2022	31/12/2021
LTV	32.7%	39.2%
Av. Interest rate (hedged)	1.98%	2.07%
Av. Maturity (years)	4.9[1]	5.3
Unsecured debt to total debt	98.0%	87.9%
Interest rate fixed	99.6%	100.0%
Liquidity position (€m)[2]	1,856	1,811

	€ million
GAV	11,317
Gross financial debt	4,239
Cash and equivalents[3]	(447)
Net financial debt	3,792
NTA	7,363

Corporate rating		Outlook
S&P Global	BBB	Positive
Moody's	Baa2	Positive

VALUATION

- **€ 11,317m GAV, (1.5%) LfL** compared to December 2021
- **Slight decline in valuation accross the board** despite strong operating performance, with only Logistics (including ZAL Port within equity method) in positive territory
- **Yields have expanded by 44 bps** overall during the year

	GAV (€ m)	LfL Growth	Gross yield	Yield expansion /(compression)[4]
Offices	6,387	(1.9%)	4.4%	+39
Logistics	1,400	0.6%	5.2%	+29
Shopping centers	2,135	(3.5%)	5.8%	+65
WIP & land	358	n.a.	n.a.	
Other	405	(0.6%)	3.9%	+54
Equity method	632	5.9%	n.a.	
Total	**11,317**	**(1.5%)**	**4.7%**	**+44**

(1) 5.8 years pro forma average maturity after refinancing the € 743m bond expiring in April 2023
(2) Includes cash (€ 429.3m) and treasury stock (€ 17.2m) and undrawn credit facilities (€ 1,409m) in FY22
(3) Includes cash (€ 429.3m) and treasury stock (€ 17.2m)
(4) Bps based on passing rent

INVESTMENTS, DIVESTMENTS AND CAPEX

- **Tree disposal (implied GAV 2,077.1m, +17.1% to book)** executed in 1H22
- **€ 112.6m of non-core assets divestments at 8.7% premium** including 4 office buildings (33,783 sqm), 2 high street units and a minority stake in an office building
- Selected acquisitions during the year: **3 prime office assets** (Liberdade 195 in Lisbon, Plaza Ruiz Picasso II in Madrid and 1 remaining floor in Diagonal 514 in Barcelona) and **the landplot for our Bilbao Arasur Data Center for total consideration of € 144.7m**
- **Landmark with just Plaza Ruiz Picasso in WIP almost fully let to tier-1 tenants at top rents.** PE Cerro Gamos I & IV will also be delivered to tenants in 2023
- Capex efforts will be pre-let driven and focused on **Best II & III and Digital Infrastructure Plan (Mega)**

	Offices	Retail	Logistics	Data Centers	€ million
Acquisitions	Liberdade 195 Plaza Ruiz Picasso II Diagonal 514			Bilbao Arasur (Data Center)	144.7
Development	Pere IV Plaza de Cataluña 9		A2-San Fernando III A2-Cabanillas Park II A A2-Cabanillas Park I J	Bilbao Arasur (Data Center) Madrid-Getafe (Data Center) Barcelona PLZF (Data Center)	137.0
Investment properties	Plaza Ruiz Picasso Torre Glories Atica 1	Porto Pi	A4-Getafe (CLA)		69.8
Like-for-like portfolio (Defensive Capex)[1]					23.3
Total					**374.8**

SUSTAINABILITY

- **Intensive effort in terms of ESG initiatives** in the year
    1. Launch and implementation of our Pathway to Net Zero
    2. Succesful requalification of all outstanding bonds into green bonds
    3. Continuation of certification program in all three asset classes
    4. Installation of 10.9 MW of solar power capacity for self-consumption

- **Scorings and accolades** obtained during the period:

GRESB	CDP	SUSTAINALYTICS	S&P Global	Inclusion in Dow Jones Sustainability Indexes
79%	**A-**	**7.2** (negligible risk)	**70%** (95th percentile)	

[1] € 19.3m are capitalized in balance sheet and € 4.0m are expensed in P&L

APPENDIX

1. Consolidated Profit and Loss

Net Leases have been reclassified as discontinued operations in FY22 and FY21 results have been restated. As a consequence, the attributable result is included within "Result from discontinued operations" in the bottom line of the profit and loss account

(€ thousand)	31/12/2022	31/12/2021
Gross rents	**452,842**	**419,688**
Offices	242,716	228,560
Logistics	73,563	65,950
Shopping centers	123,840	114,894
Other	12,723	10,286
Other income	**7,881**	**6,787**
Total Revenues	**460,723**	**426,475**
Incentives	(24,688)	(17,731)
Covid-19 relief	-	(24,867)
Total Operating Expenses	**(107,838)**	**(106,144)**
Propex	(49,276)	(48,643)
Personnel expenses	(35,659)	(29,129)
Opex general expenses	(16,446)	(14,262)
Opex non-overheads	(2,443)	(2,612)
LTIP Provision	(4,014)	(11,498)
ACCOUNTING EBITDA	**328,197**	**277,733**
Depreciation	(1,885)	(1,858)
Gain / (losses) on disposal of assets	11,561	(1,900)
Provisions	(160)	1,169
Change in fair value of investment property	(249,272)	195,497
EBIT	**88,441**	**470,641**
Net financial expenses	(91,532)	(101,234)
Debt amortization costs	(13,729)	(9,803)
Gain / (losses) on disposal of financial instruments	(283)	(1,347)
Change in fair value of financial instruments	41,226	10,352
Share in earnings of equity method instruments	24,033	34,560
PROFIT BEFORE TAX	**48,156**	**403,169**
Income taxes	(6,800)	(7,809)
PROFIT (LOSS) FOR THE PERIOD RECURRING OPERATIONS	**41,356**	**395,360**
Result from discontinued operations	221,731	116,857
Minorities	-	-
PROFIT (LOSS) FOR THE PERIOD ATTRIBUTABLE	**263,087**	**512,217**

2. Consolidated Balance Sheet

(€ thousand)

ASSETS	31/12/2022	EQUITY AND LIABILITIES	31/12/2022
NON CURRENT ASSETS	**11,512,263**	**EQUITY**	**6,849,224**
Intangible assets	1,746	Subscribed capital	469,771
Property, plant and equipment	6,323	Share premium	3,541,379
Investment property	10,714,200	Reserves	3,023,630
Investments accounted for using the equity method	500,300	Treasury stock	(17,166)
Non-current financial assets	211,048	Other equity holder contributions	540
Deferred tax assets	78,646	Interim dividend	(444,815)
		Profit for the period	263,087
		Valuation adjustments	12,798
		NON-CURRENT LIABILITIES	**4,251,747**
		Long term debt	3,625,598
		Long term provisions	12,670
		Deferred tax liabilities	613,479
CURRENT ASSETS	**539,220**	**CURRENT LIABILITIES**	**950,512**
Trade and other receivables	49,840	Short term debt	786,862
Short term investments in group companies and associates	2,831	Trade and other payables	152,084
Short-term financial assets	129	Other current liabilities	11,566
Cash and cash equivalents	429,449		
Other current assets	56,971		
TOTAL ASSETS	**12,051,483**	**TOTAL EQUITY AND LIABILITIES**	**12,051,483**

APM: definitions and reconciliation of APMs to the latest audited financial accounts can be found on page 55 of https://ir.merlinproperties.com/wp-content/uploads/2023/02/Results-report-FY22-1.pdf

MERLIN
PROPERTIES

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